

INDIAN ECONOMY

LEVEL
II



LECTURES

THE NATIONAL BANK FOR
FINANCING INFRASTRUCTURE
AND DEVELOPMENT (NaBFID)

MODULE - 32



FINALLY, A DFI FOR INFRASTRUCTURE FINANCING WITH GOVERNMENT SUPPORT!



- NaBFID Act, 2021 seeks to establish the National Bank for Financing, Infrastructure and Development (NaBFID) as the principal Development Financial Institution (DFI) for infrastructure financing.
- DFIs are normally set up for providing long-term finance.
- DFIs do not accept deposits from people. They source the money from market, Government as well as multi-lateral institutions.
- Sometimes they are supported through Government guarantees.

1

SHARE CAPITAL

- It is a corporate body with authorized share capital of Rs. 1 Lakh.
- Shares of NaBFID may be held by
 - ✓ Central Government
 - ✓ Multi-lateral institutions
 - ✓ Sovereign Wealth Funds
 - ✓ Pension funds
 - ✓ Insurance funds
 - ✓ Financial institutions
 - ✓ Banks
 - ✓ Any other institution, prescribed by the Central Government.

Initially, the Centre will own 100%, which may subsequently reduce the share holding up to 26%.

2

FINANCIAL & DEVELOPMENTAL

- It will have both financial as well as developmental activities.
- Financial objectives will be to directly or indirectly lend, invest or attract investments for infrastructure projects located entirely or partly in India. Central Govt. will prescribe the sectors to be covered under the infrastructure domain.
- Developmental objectives include facilitating the development of the market for bonds, loans and derivatives for infrastructure financing.

3

CORE FUNCTIONS

- Extending loans and advances for infrastructure projects.
- Taking over or refinancing such existing loans.
- Attracting investments from private sector investors.
- Organizing and facilitating foreign participation in infrastructure projects.
- Providing consultancy services.
- Facilitating negotiations with various Govt. authorities for dispute resolution.



4

SOURCE OF FUNDS

- It may raise money in the form of loans or otherwise both in Indian Rupees or foreign currencies.
- It may borrow money from
 - ✓ Central Government
 - ✓ RBI
 - ✓ Scheduled Commercial Banks
 - ✓ Mutual Funds
 - ✓ Multi-lateral institutions, such as World Bank and Asian Development Bank.



5

MANAGEMENT

- It will be governed by a **Board of Directors**.
- The Chairperson will be appointed by the **Central Government** in consultation with **RBI**.
- A body constituted by the Central Govt. will **recommend candidates** for the post of the **Managing Director** and Deputy Managing Directors.
- Board will **appoint independent directors** based on the recommendations of an **internal committee**.

6

SUPPORT FROM THE CENTRE

- Central Govt. will provide grants worth **Rs. 5,000 Cr** to **NaBFID**, by the end of the **1st** financial year.
- It will also provide guarantee at a **concessional rate** of up to **0.1%** for borrowing from multi-lateral institutions, **sovereign wealth funds** and other foreign funds.
- Costs towards insulations from fluctuations in **foreign exchange** may be **reimbursed** by the **Centre**.
- Upon request by NaBFID, Govt. may **guarantee the bonds, debentures** etc.

7

EMPLOYEE PROTECTION

- No investigation can be initiated against employees of NaBFID without prior sanction of the Central Govt. in case of Chairperson or other Directors.
- Courts will also require prior sanction for taking cognizance of offences in matters involving employees of NaBFID.



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OTHER DFIs

- The Bill also provides for any person to set up a DFI by applying to RBI.
- RBI may grant a license for DFI in consultation with the Central Govt.
- RBI will also prescribe regulations for these DFIs.



INCREASE IN CONTINGENT LIABILITIES FOR CENTRE ... A CAUSE OF CONCERN!

- 1 Potential creation of contingent liabilities raises fiscal concerns.
- 2 The FRBM Act explicitly limits additional guarantees with respect to any loan on security of the Consolidated Fund of India over 0.5% of GDP, in any financial year.
- 3 The Contingent liability – GDP ratio was 2.4% in 2019-20 and in 2020-21, it is around 3%.
- 4 The passage of NaBFID Act raises questions about extent of guarantees.
- 5 The role of sovereign guarantees assume greater significance in the light of two institutional failures i.e., IDFC (set up in 1997) and IIFCL (Created in 2006 and likely to be merged with NaBFID). The above mentioned two organizations were set up to finance and mobilize capital for private infrastructure development.

Though NaBFID is badly needed due to the lack of sufficient depth of the capital markets in India, however, the underlying risks should be taken note of!

THREE IMPORTANT SUGGESTIONS TO MAKE NaBFID A SUCCESS!

1

ENSURE DIVERSIFIED SOURCES OF FUNDING AS PLANNED IN NaBFID



- Industrial lending institutions after independence were over reliant on cheap Government funds.
- Universal banks failed because they ran into asset liability mismatches due to their reliance on retail deposits to fund long-term projects.
- Hence, now the new age DFIs should focus on diversified sources of funding that balance the two.



THREE IMPORTANT SUGGESTIONS TO MAKE NaBFID A SUCCESS!

2 SPECIALISED PROJECT LENDERS HAVE DONE MUCH BETTER!



- Specific verticals tend to do better in building project appraisal skills and managing risks than super-market lenders, who fund any project that comes their way.
- Now, there is reasonable success of refinancing institutions like NHB and NABARD.
- Direct Finance Institutions like Exim Bank, IREDA and IRFC have also seen success.
- Hence, there is a case for going towards multiple specialized DFIs under the framework of NaBFID by taking a cue from the successes of specialized DFIs.

THREE IMPORTANT SUGGESTIONS TO MAKE NaBFID A SUCCESS!

3

SHOULD BE FREE FROM POLITICAL INTERFERENCE



- The NaBFID must be freed from political interference or crony lending.
- Merely having private shareholders or professional managers on-board is not sufficient to ensure good governance.
- This has to be backed by a robust system of external checks and balances, such as supervision by RBI and proper due diligence by auditors and rating agencies.

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